

SMOKY MOUNTAIN CPAS • FREE GUIDE

The Contractor's Bookkeeping Checklist

The monthly routine that keeps your jobs profitable on paper, your owner pay clear, and your equipment and subs handled right. Built by two CPAs who keep the books for trades businesses.

Smoky Mountain CPAs

Two Licensed CPAs • Big Four Trained • We don't file taxes, we keep your books ready for whoever does.

Why contractor books break

A trades business has two problems most bookkeeping ignores: money moves in lumps, and every dollar belongs to a job. Deposits come in before work is done, materials go out before you get paid, and owner money gets mixed in with business money. If your books don't track cost by job and don't separate your draws, you can be busy all year and still have no idea which jobs actually made money. This checklist fixes that.

Every month, in order

- ☐ Reconcile every bank and credit card account to its actual statement.
- ☐ Assign costs to jobs: materials, subcontractors, and labor tied to the job they belong to, not dumped in one bucket.
- ☐ Record customer deposits and progress payments as what they are, not as final revenue until the work is earned.
- ☐ Track retainage separately so you know what's still owed to you and what you still owe out.
- ☐ Separate owner draws from business expenses. Your truck payment is not the same as the cash you took home.
- ☐ Categorize every expense correctly, and stop coding equipment as "supplies."
- ☐ Log subcontractor payments and collect a W-9 before you pay anyone, so 1099s aren't a January fire drill.
- ☐ Produce a job-level profit view and a P&L, and read them.

The job-costing test: can you say, right now, which of your last five jobs made money and which lost it? If not, your costs aren't tied to jobs, and you're flying blind on the one number that runs your business.

Equipment, subs, and paying yourself

Equipment: capitalize vs. expense

- ☐ Big-ticket equipment and vehicles usually have to be capitalized and depreciated over time, not expensed all at once. Getting this backwards throws off your taxes for years.
- ☐ Track each asset, what you paid, and when you bought it, so depreciation is right and nothing is missed.
- ☐ Repairs are an expense. Improvements that extend an asset's life often are not. Know the difference or ask.

Subcontractors and 1099s

- ☐ Collect a W-9 from every sub before their first payment. No W-9, no check.
- ☐ Track total paid to each sub across the year so 1099s are automatic, not a scramble.
- ☐ Know the line between a subcontractor and an employee. Getting it wrong is expensive.

Pay yourself first

- ☐ Open separate accounts for Profit, Owner's Pay, Taxes, and Operating Expenses.
- ☐ When a payment comes in, move set percentages into each account before you spend, especially the tax account, since nobody withholds for you.
- ☐ Pay yourself from Owner's Pay on a schedule, so your income isn't whatever happens to be in the account that week.

The tax trap: money in the account is not money you can keep. A chunk of it belongs to the IRS. Move it to a separate tax account the day it comes in and you'll never be caught short in April.

Red flags & what to do next

Signs your books need attention

- ☐ You can't say which jobs made money and which lost it.
- ☐ Owner draws and business expenses are tangled together.
- ☐ 1099s are a stressful scramble every January.
- ☐ You're not sure what you can safely pay yourself, or set aside for taxes.
- ☐ Equipment got expensed all at once and you're not sure that was right.
- ☐ "Clean it up later" has been on a list for more than three months.

If two or more of those landed

It's worth a real look. Our In-Depth Diagnostic Review puts two licensed CPAs inside your actual books to tell you the truth, in writing and on a recorded video walkthrough. It's \$497, one time, credited in full toward your first month if you decide to work with us. Especially worth it for a newer business, before your books ever reach your tax preparer.

Two ways to take the next step:

See the Diagnostic Review → smokymtncpas.com/diagnostic/

Or tell us about your business → smokymtncpas.com/get-started/

Questions? Call us at (865) 312-1203.

Clean books. Cash clarity. Built for the trades.

Smoky Mountain CPAs · Two Licensed CPAs, Big Four trained · We keep your books tax-ready all year and work alongside your tax preparer. We do not file tax returns.